

1. A typical demand curve slopes:

- a) upward
- b) downward
- c) horizontally
- d) vertically

Answer: b

2. When the price of a good rises, quantity demanded:

- a) rises
- b) falls
- c) stays unchanged
- d) doubles

Answer: b

3. Price elasticity of demand measures responsiveness to:

- a) price changes
- b) income changes
- c) taste changes
- d) population changes

Answer: a

4. In perfect competition, firms are:

- a) price makers
- b) price takers
- c) monopolists
- d) oligopolists

Answer: b

5. Fixed costs:

- a) vary with output
- b) do not vary with output
- c) are always zero
- d) are always negative

Answer: b

6. Marginal cost is the cost of producing:

- a) the first unit
- b) one additional unit
- c) the average unit
- d) the last batch

Answer: b

7. At the break-even point:

- a) total revenue equals total cost
- b) total revenue exceeds total cost
- c) total revenue is less than total cost
- d) marginal revenue is zero

Answer: a

8. Which of the following is a macro-economic variable?

- a) GDP
- b) price of a single product
- c) a firm's profit
- d) a firm's output

Answer: a

9. The law of diminishing returns applies in the:

- a) short run
- b) long run
- c) both short and long run
- d) neither

Answer: a

10. An oligopoly market has:

- a) one firm
- b) a few firms
- c) many firms
- d) no firms

Answer: b

11. Explain the law of demand with an example.

(Write your answer in the space provided.)

12. Differentiate between the short run and the long run in production.

(Write your answer in the space provided.)